EXECUTIVE SUMMARY

I. Introduction

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of a Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P.

The Municipality is located at the center of the Province of Cagayan. It is approximately 66 kms from Tuguegarao City and 40 kms from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipalities of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality, with a land area of 70,750.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran, Cagayan for CY 2025 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality of Gattaran for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase (Decrease)
Financial Position			
Total Assets	P1,068,248,800.80	P976,006,032.37	92,242,768.43
Liabilities	197,043,455.24	178,262,692.25	18,780,762.99
Total Government Equity	871,205,345.56	797,743,340.12	73,462,005.44
Results of Operations			
Total Revenues	482,695,413.29	401,727,932.51	80,967,480.78
Total Expenses	435,095,493.18	408,270,884.16	26,824,609.02
Net Income	47,599,920.11	(6,542,951.65)	54,142,871.76

IV. Operational Highlights

The Municipality is headed by the Municipal Mayor, Honorable Matthew C. Nolasco, and Vice-Mayor, Honorable Princess Joy Sison-Morato and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	2
Permanent Employees	197
Job Order	238

In addition, the Municipality had utilized 78.93 percent, equivalent to P85,554,560.00 out of the total appropriation of P108,392,850.00 for the significant and developmental projects in Calendar Year 2025.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality for the year-ended December 31, 2025 due to various accounts, which are materially misstated by an aggregate amount of P63,350,412.73 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality disclosed misstatements totaling P63,350,412.73 in absolute value, as follows:

Account	Assets	Liabilities	Expenses	Total
Cash in Bank – General Fund	P11,961,228.31			P11,961,228.31
Cash in Bank – Trust Fund	11,961,228.31			11,961,228.31
Prepaid Insurance	239,537.02			239,537.02
Buildings	63,500.00			63,500.00
Road Networks	59,565.00			59,565.00
Disaster Response and Rescue Equipment	90,100.00			90,100.00
Accounts Payable		P3,225,124.68		3,225,124.68
Due to Officers and Employees		3,225,124.68		3,225,124.68
Trust Fund Liability – LDRRMF		11,961,228.31		11,961,228.31
Insurance Expense			P239,537.02	239,537.02
Other MOE			11,119,001.20	11,119,001.20
Honoraria			1,753,800.00	1,753,800.00
Traveling Expenses – Local			631,817.02	631,817.02
Training Expenses			1,111,936.00	1,111,936.00
Office Supplies Expense			413,894.00	413,894.00
Medical, Dental and Laboratory Supplies Expenses			66,000.00	66,000.00
Semi-Expendable Furniture, Fixtures and Books Expenses			76,540.00	76,540.00
Semi-Expendable Machinery and Equipment Expenses			752,050.00	752,050.00
Other Supplies and Materials Expenses			389,972.00	389,972.00
Prizes			38,500.00	38,500.00
Environment/Sanitary Services			901,602.68	901,602.68
Other General Services			974,540.00	974,540.00
Repairs and Maintenance - Buildings and Other Structures			1,175,333.50	1,175,333.50
Repairs and Maintenance - Infrastructure Assets			647,569.00	647,569.00
Repairs and Maintenance - Machinery and Equipment			84,970.00	84,970.00
Repairs and Maintenance -				

Account	Assets	Liabilities	Expenses	Total
Transportation Equipment			86,740.00	86,740.00
Taxes, Duties and Licenses			22,564.00	22,564.00
Advertising, Promotional and Marketing Expenses			55,410.00	55,410.00
Donations			22,000.00	22,000.00
Total	**P24,375,158.64**	**P18,411,477.67**	**P20,563,776.42**	**P63,350,412.73**

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality of Gattaran are as follows:

1. The Due from and Advances to Officers and Employees accounts showed negative balances totaling P1.182 million due to systemic recording errors and the non-reconciliation of subsidiary ledgers.

   We recommended that the Management direct the Municipal Accountant to analyze and prepare adjusting entries for the abnormal credit balances in the Due from and Advances to Officers and Employees accounts, while implementing a strict internal control policy that prohibits the processing of liquidations or refunds without a previously established receivable in the Subsidiary Ledgers. Furthermore, the Accountant should conduct mandatory monthly reconciliations of all receivable Subsidiary Ledgers to ensure the prompt detection and correction of negative balances before the final closing of the books.

2. Various expenditures totaling P2.491 million were charged against the LDRRM Fund despite being non-disaster related and/or not included in the approved Local Disaster Risk Reduction and Management Fund Investment Plan and Annual Investment Program.

   We recommended that the Management strictly adhere to the guidelines set forth under COA Circular No. 2012-002 and NDRRMC DBM-DILG JMC No. 2013-1, and refrain from charging against the LDRRM Fund those PPAs not pertaining to disaster-related activities and/or not in accordance with the approved budget for which the fund was established.

   Moreover, we recommended that the Management require the MDRRMO to ensure that all proposed disbursement are explicitly programmed in the approved LDRRMFIP and the AIP prior to implementation, while the Municipal Accountant and Budget Officer must exercise rigorous oversight during the certification and processing of claims to guarantee that every charge

against the 5% LDRRMF is exclusively dedicated to specialized disaster-related mandates.

VII. Summary of Total Suspensions, Disallowances and Charges

The Municipality has no unsettled suspensions, disallowances, and charges as of December 31, 2025 presented as follows:

	Beginning Balance December 31, 2024	Issued this period January 1 to December 31, 2025	Settled this period January 1 to December 31, 2025	Ending Balance December 31, 2025
Notice of Suspension	-	-	-	-
Notice of disallowance	P31,200.00	-	-	P31,200.00
Notice of charges	-	-	-	-
Total	**P31,200.00**	**-**	**-**	**P31,200.00**

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Fully Implemented	17	42.00
Not Implemented	24	58.00
Total	**41**	**100.00**